

Curve bear-flattens on a hawkish Fed

- Rates markets interpreted the April FOMC communication as hawkish, with three regional presidents supporting no change to rates but against the inclusion of an easing bias in the statement. Governor Stephen Miran dissented in favour of a 25bp rate cut.
- The Fed appeared less worried about the labour market, and more concerned about inflation elevated due to high energy prices. “Job gains have remained low, on average, and the unemployment rate has been little changed in recent months,” while inflation “is elevated, in part reflecting the recent increase in global energy prices”. Our inflation strategists [expect headline CPI to reach 4.1% YoY](#) in May, with core CPI between 2.7% and 2.9% for the rest of the year.
- Futures pricing quickly removed a minimum amount of easing premium by year-end, which was around 6bp prior to the Fed meeting. The curve flattened in the selloff, with the 2Y Treasury yield touching 3.94%, not far from the peak of 3.99% on 26 March.
- The 30Y yield is hitting 5.00%, a resistance level that has held since last July. In strategy, we are biased towards curve flattening, given that inflation likely remains sticky and the curve seems too steep relative to forwards.
- At the press conference, Chair Jerome Powell said it would be his last conference as Chair with his chairmanship expiring 15 May. But he plans to serve as a governor for a period of time, keeping a low profile.
- In monetary policy, Powell pointed to the current rates being close to neutral, and no broad support for major changes to forward guidance, eg, the dots.
- Earlier on Wednesday, the Senate Banking Committee voted 13-11, along the party line, to advance Kevin Warsh’s nomination to the Fed board. We believe that, while under pressure to lower rates from the administration, Warsh likely faces opposition from his new Fed colleagues for further rate cuts.



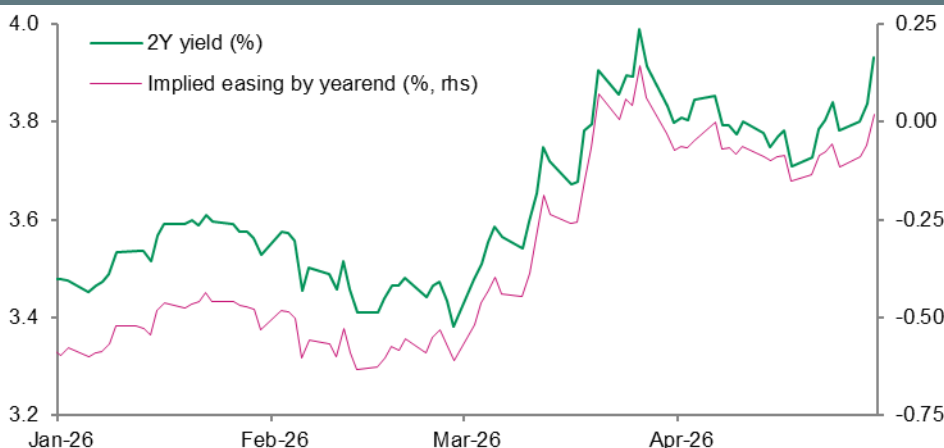
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Fig 1. Market removes Fed easing premium



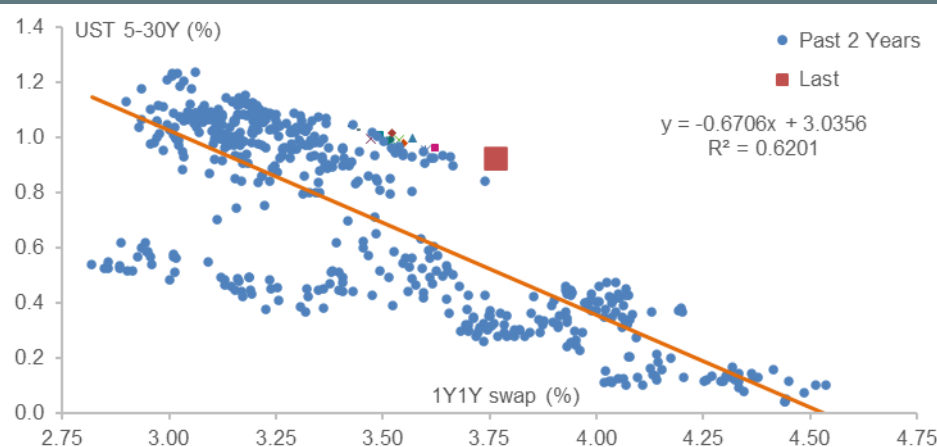
Source: Credit Agricole CIB, Bloomberg

Rates investors interpreted the April FOMC statement as hawkish, as three regional presidents Beth Hammack, Neel Kashkari and Lorie Logan supported maintaining the 3.50-3.75% target range for the Fed funds rate but did not support inclusion of an easing bias in the statement. Governor Stephen Miran dissented in favour of a 25bp rate cut.

The Fed appeared less worried about the labour market, and more concerned about inflation elevated due to high energy prices. The FOMC statement highlighted that the “job gains have remained low, on average, and the unemployment rate has been little changed in recent months”. Inflation “is elevated, in part reflecting the recent increase in global energy prices”. “Developments in the Middle East are contributing to a high level of uncertainty” about the outlook.

Fed officials are awaiting second-round effects to core inflation, which may take a while to fully materialise. We will get the March PCE report on Thursday, where market consensus centres around headline 0.7% MoM/3.5% YoY and core 0.3% MoM/3.2% YoY. Our inflation strategists [expect headline CPI to reach 4.1% YoY](#) in May, with core CPI between 2.7% and 2.9% for the rest of the year.

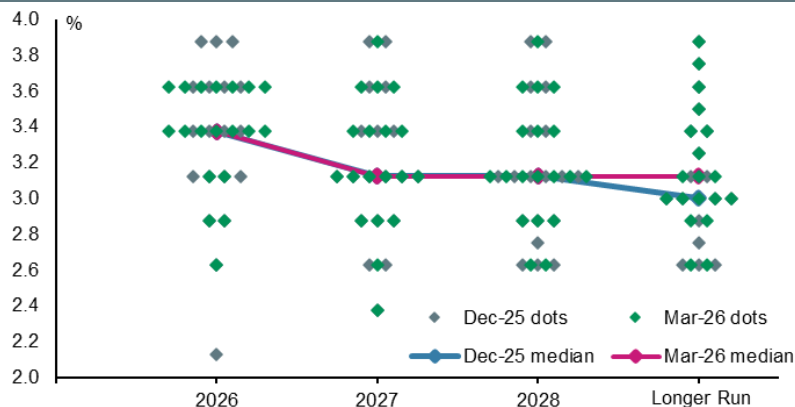
Fig 2. 5-30Y curve has room to flatten



Source: Credit Agricole CIB, Bloomberg

Futures pricing quickly removed a minimum amount of easing premium by year-end, which was around 6bp prior to the Fed meeting (Figure 1). The curve flattened in the selloff, with the 2Y Treasury yield touching 3.94%, not far from the peak of 3.99% on 26 March. The 30Y yield is approaching 5.00%, a resistance level that has held since last July. In strategy, we are biased towards curve flattening, given that inflation likely remains sticky and the curve seems too steep relative to forwards (Figure 2).

Fig 3. March FOMC dots suggested one 25bp cut in 2026



Source: Credit Agricole CIB, Bloomberg

At the press conference, Chair Jerome Powell said it would be his last conference as Chair with his chairmanship expiring 15 May. But he plans to serve as a governor for a period of time, keeping a low profile. This is consistent with his

remarks at the March FOMC presser that he wanted to see any legal probes to be “well and truly over, with transparency and finality”. In his view, the Fed as an institution has been “battered” by legal “assaults”.

In monetary policy, Powell pointed to the current rates being close to neutral, and no broad support for major changes to forward guidance, eg, the dots. The 18 March FOMC dots suggested one 25bp cut in 2026 followed by one more in 2027 (Figure 3). That said, guidance could conceivably change at the June meeting, when Kevin Warsh is expected to take over.

A rebound in March NFP headline provides support for an extended pause. In inflation, while headline CPI ran hot in March as expected, core was benign. Fed officials are awaiting second-round effects to core inflation, which may take a while to fully materialise.

Earlier on Wednesday, the Senate Banking Committee voted 13-11, along party lines, to advance Warsh’s nomination to the Fed board. His nomination now heads to a full Senate vote, where Republicans hold a 53-47 majority.

Powell emphasized that he would never be a “shadow Chair,” as Warsh has the skills and capability of driving consensus at the Fed. We believe that, while under pressure to lower rates from the administration, Warsh likely faces opposition from his new Fed colleagues for further rate cuts, given the three dissenting votes against an easing bias in the April statement.

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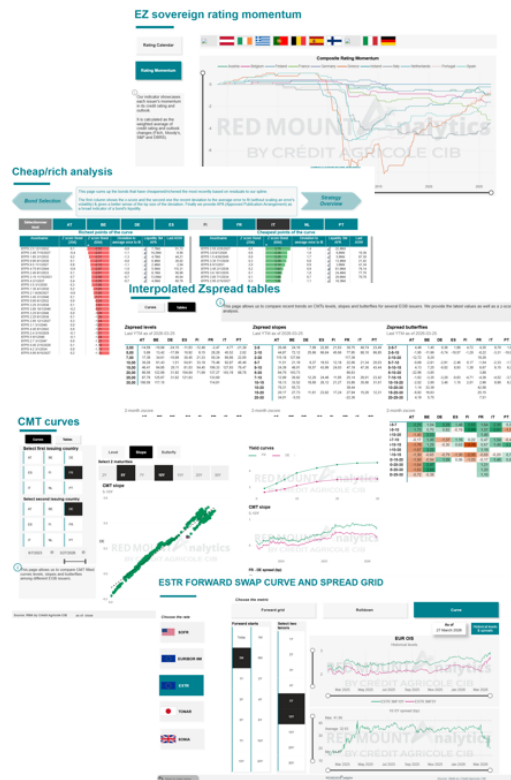
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